

complaint

Miss A is unhappy with the amount she received from UK Insurance Limited (UKI) following a claim on her landlord's insurance policy. She's also unhappy that the policy wasn't renewed and with the overall service she's received.

background

In September 2015, Miss A renewed her landlord's insurance policy with UKI. This was effective from 28 October 2015 for one year. This covered a range of things including escape of water and loss of rent.

Miss A notified UKI of damage to her property in September 2016 caused by a leak. UKI initially repudiated the claim because the property had been unoccupied since February 2016. But it reconsidered when Miss A's contractor told it that the leak had occurred during a previous claim raised in March 2016 – which was within 30 days of the property becoming unoccupied (and therefore couldn't be considered as '*vacant or disused*' under the policy terms.)

Because of the nature of the damage and complexity of the claim, a loss adjuster was appointed by UKI. Based on their inspection, UKI concluded that some of the damage was actually because of maintenance issues which led to gradual deterioration – which wasn't covered by the policy – as well as some damage because of the leak, which was covered. So UKI agreed to pay for repairs for any damage which could be evidenced as having occurred because of the leak. But it offered Miss A the opportunity to provide her own independent report if she felt that the damage was *all* as a direct result of the escape of water. As Miss A says she wasn't in a position to provide an independent report, she accepted UKI's findings. She's raised nothing further to dispute this.

Miss A also submitted a claim for loss of rent. She was offered £14,400, which was based on the sum insured – and this broke down to £1,200 per calendar month ("pcm"). Miss A says she requires £1,400pcm as she would've been able to get this amount on the market. We've been given a copy of a letter from her letting agents who said they estimated that £1,300pcm could be achieved.

UKI said it considered that the previous tenants paid only £1,000pcm; plus the letter Miss A provided to show the rent had increased to £1,200pcm just before the policy commenced. It said there were no guarantees that £1,300pcm (or higher) would've been achieved. And it also said that its maximum liability for loss of rent would be the sum insured (£14,400) – and it had no indication that Miss A would've increased this amount.

As well as disagreeing with the rent rate, Miss A thinks that it should be paid until the work on the property is completed. She said that because UKI didn't accept the claim until months after it had been notified, work couldn't be started. She said that if the work had started on time, it would've been finished by now rather than in 2018, so she's losing money each month.

UKI sent Miss A an email in September 2016 which said that her policy would renew automatically. But after sending this email, UKI chose not to renew Miss A's policy. It said that the reason for this was because one of the insured properties had been unoccupied since February 2016, and that its underwriters consider unoccupied properties to carry a higher risk. Miss A is unhappy that the insurance wasn't renewed. She also questioned why it was lapsed on both properties rather than just the unoccupied one.

Miss A also told us about a service-related matter which involved UKI withholding the £200 excess from payments to her twice (rather than once) and delaying payments to her. UKI said the additional excess payment was caused by a system error and was refunded. But Miss A said the situation caused her financial strain. It appears that the payment to Miss A that was £200 short was made on 11 September 2017 and this amount was refunded shortly afterwards.

Our investigator considered this complaint. He thought the payment for loss of rent was in line with the policy's terms and conditions. He also said that it's common industry practice not to insure unoccupied properties. And that it appears the insurance was lapsed on both properties because they were covered under one policy, rather than two separate policies. With regards to the £200 excess being charged twice, he accepted that this was an error but thinks that UKI did everything it could reasonably be expected to do to correct it. So he didn't uphold the complaint. Miss A disagreed but hasn't raised any new points. So the complaint has been passed to me.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I know this will come as a disappointment to Miss A but I've decided not to uphold her complaint. I'll explain why.

I've considered whether the loss of rent payment made by UKI is fair. The policy terms for the section "*Loss of Rent Receivable*" say "*...We will indemnify You for the: amount by which the Rent Receivable during the Indemnity Period, as a result of Damage, falls shorts of the Rent Receivable which would have been received during the Indemnity Period had no Damage occurred...*" The renewal schedule for this period of insurance states under the section for "*Rent Receivable*", that the sum insured for loss of rent is £14,400. This means that Miss A could receive a maximum of £14,400 for loss of rent caused by damage to the property within the indemnity period – which was 12 months. And this is the amount that Miss A was paid. I note that Miss A thinks the rent should continue to be paid while the work is completed, but as UKI has paid the maximum sum insured for the maximum indemnity period, I don't agree.

In principle, we might ask an insurer to pay compensation over and above a strict policy limit if, for example, its breach of contract and/or negligence had caused reasonably foreseeable uninsured losses. But I'm not persuaded that was the case here. The initial delay in processing a claim of this nature and extent was not, to my mind, inherently unreasonable. An insurer is entitled to investigate before accepting liability – especially when, as here, there were potential grounds for avoiding or reducing liability (e.g. due to the unoccupancy clause). So, I can't fairly say that UKI should pay Miss A anything further for loss of rent in this particular case.

I note that Miss A is unhappy that her annual insurance policy wasn't renewed upon expiry. It appears that she was sent an automatically-generated email about an automatic renewal, which isn't unusual to see with many types of insurance. But in this case, while UKI sent an email about renewal of the policy, it ultimately decided not to continue insuring Miss A. And this is UKI's legitimate exercise of its commercial judgment – and this isn't something with which an ombudsman would normally interfere.

I believe that insurers will often decline cover for unoccupied properties, as they're generally considered to be a higher risk than occupied properties. It can take longer to discover an issue with a property when there isn't someone living in it; and an unoccupied property could be considered an easier target for malicious damage or theft. Declining cover for unoccupied properties is a relatively common stance across the industry. So I don't think it's unreasonable for UKI to have decided not to cover this risk going forwards.

Miss A has questioned why UKI decided not to provide cover for *both* of the properties rather than just the unoccupied one. Based on the renewal schedule I've seen, it appears that Miss A had one insurance policy which covered her for both properties with a total amount chargeable for this *one* contract of insurance. The contract that was due to be renewed covered two properties. And as one of them was unoccupied, it wouldn't have been reasonable to automatically assume that Miss A wanted to renew the policy for the other property with them – she may instead have chosen to insure both properties together with another insurer. However, that's not to say that UKI would've decided to cover Miss A for the occupied property; again, that comes down to commercial decision. But based on what I've seen, I don't think it was unreasonable for cover to end for both premises.

Finally, I've thought about the fact that UKI withheld an extra £200 for an excess which Miss A had already paid, and the delays in payment she mentioned. I can appreciate this would've been frustrating for her, in an already stressful situation. But I can see that when the error with the excess was discovered, UKI paid Miss A back within a short timeframe. And while a payment for loss of rent appears to have been made after she expected to have received it, I don't think this was an unfairly long delay. Miss A says this put her under financial strain, and I'm sorry to hear that, but I haven't seen enough to say that UKI should pay any compensation to Miss A for its actions.

my final decision

For the reasons set out above, I don't uphold Miss A's complaint against UK Insurance Limited.

Under the rules of the Financial Ombudsman Service, I'm required to ask Miss A to accept or reject my decision before 14 January 2018.

Melanie Roberts
ombudsman